

undetected patterns. We have been reading lengthy and complex messages in just about any manifestation of nature that presents jaggedness (such as the palm of a hand, the residues at the bottom of Turkish coffee cups, etc.). Armed with home supercomputers and chained processors, and helped by complexity and “chaos” theories, the scientists, semi-scientists, and pseudoscientists will be able to find portents. Second, we need to take into account the costs of mistakes; in my opinion, mistaking the right column for the left one is not as costly as an error in the opposite direction. Even popular opinion warns that bad information is worse than no information at all.

However interesting these areas could be, their discussion would be a tall order. In addition, they are not my current professional specialty. There is one world in which I believe the habit of mistaking luck for skill is most prevalent – and most conspicuous – and that is the world of trading. By luck or misfortune, that is the world in which I operate. It is my profession, and as such it will form the backbone of this book. It is what I know best. In addition, business presents the best (and most entertaining) laboratory for the understanding of these differences. For it is the area of human undertaking where the confusion is greatest and its effects the most pernicious. For instance, we often have the mistaken impression that a strategy is an excellent strategy, or an entrepreneur a person endowed with “vision”, or a trader an excellent trader, only to realize that 99.9% of their past performance is attributable to chance, and chance alone. Ask a profitable investor to explain the reasons for his success; he will offer some deep and convincing interpretation of the results. Frequently, these delusions are intentional and deserve to bear the name “charlatanism”.

If there is one cause for this confusion between the left and the right sides of our table, it is our inability to think critically – we may enjoy presenting conjectures as truth. We are wired to be like that. We will see that our mind is not equipped with the adequate hardware to handle probabilities; such infirmity even strikes the expert, sometimes just the expert. A critical mind, on the other hand, is someone who has the guts, when confronting a given set of information, to attribute a large share of its possible cause to the left column.

The 19th-century cartoon character, pot-bellied bourgeois Monsieur Prudhomme, carried around a large sword with a double intent:

primarily to defend the Republic against its enemies, and secondarily to attack it should it stray from its course. In the same manner, this book has two purposes: to defend science (as a light beam across the noise of randomness), and to attack the scientist when he strays from his course (most disasters come from the fact that individual scientists do not have an innate understanding of standard error or a clue about critical thinking). As a practitioner of uncertainty I have seen more than my share of snake-oil salesmen dressed in the garb of scientists. The greatest fools of randomness will be found among these.

This author hates books that can be easily guessed from the table of contents – but a hint of what comes next seems in order. The book is composed of three parts. The first is an introspection into Solon’s warning, as his outburst on rare events became my lifelong motto. In it we meditate on visible and invisible histories. The second presents a collection of probability biases I encountered (and suffered from) in my career in randomness – ones that continue to fool me. The third concludes the book with the revelation that perhaps ridding ourselves of our humanity is not in the works; we need tricks, not some grandiose moralizing help. Again the elders can help us with some of their ruses.